

ECONOMY

LECTURES



GDP AND INTRICACIES

MODULE - 21

As per theoretical concepts ...

AGGREGATE VALUE OF GOODS AND SERVICES

1

PRODUCT / VALUE ADDED

GROSS VALUE
ADDED FOR FINAL
GOODS AND
SERVICES

Theoretically, it can be called GVA at basic prices

2

EXPENDITURE METHOD

$$\begin{array}{c} C \\ + I \\ + G \\ + X - M \end{array}$$

It can be considered as GDP at current market prices

3

INCOME METHOD

$$\begin{array}{c} P \\ + I_n \\ + R \\ + W \end{array}$$

Theoretically, it can be called GDP at factor cost

As per theoretical concepts ...

RELATIONSHIP BETWEEN GVA & GDP

GDP AT CURRENT MARKET PRICES

1 GVA AT BASIC PRICES

It is considered to be the most accurate method

2 + INDIRECT TAXES



3 - SUBSIDIES



GDP AT CONSTANT
MARKET PRICES

=

GDP AT CURRENT MARKET PRICES

GDP DEFLATOR

ET

This is the GDP, which we see in the newspapers

TH

GDP DEFLATOR

Value of goods and services produced in a particular year
at current prices

$$\text{GDP DEFLATOR} = \frac{\text{Value of goods and services produced in a particular year at current prices}}{\text{Value of goods and services pertaining to base year}} \times 100$$

- This is to learn about to what extent an increase in GDP is on account of increase in prices.
- Real GDP is the nominal GDP adjusted for inflation.



$$\text{GDP DEFLATOR} = \frac{\text{NOMINAL GDP}}{\text{REAL GDP}} \times 100$$

ECONOMY

As per theoretical concepts ...

GNP AT CONSTANT
MARKET PRICES



-



+



AIRTEL AFRICA

Subtract this factor
income

GDP AT CONSTANT
MARKET PRICES

Add this factor
income

As per theoretical concepts ...

**NNP AT CONSTANT
MARKET PRICES**



Year 2015
Rs. 10,00,000



Year 2016
Rs. 8,00,000



Year 2017
Rs. 6,40,000

Depreciation is 20% every year
(This assumption is only for
understandingsake)

NNP AT CONSTANT MARKET PRICES

NNP AT CONSTANT MARKET PRICES

**= GNP AT CONSTANT MARKET PRICES -
Depreciation**

As per theoretical concepts ...

NATIONAL INCOME

NET NATIONAL PRODUCT AT FACTOR COST

=

NET NATIONAL PRODUCT AT MARKET PRICES

-

INDIRECT TAXES



+

SUBSIDIES



NATIONAL INCOME

=

NET NATIONAL
PRODUCT AT
FACTOR COST

NATIONAL DISPOSABLE INCOME

NATIONAL
DISPOSABLE
INCOME

=

NNP AT MARKET
PRICES

+



THE WORLD BANK
IBRD • IDA



NRI Remittances/ Transfers

It gives an idea of what is the maximum amount of goods and services the domestic economy has at its disposal.

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RELEASE OF GDP FIGURES BY ECONOMIC ACTIVITY METHODOLOGY

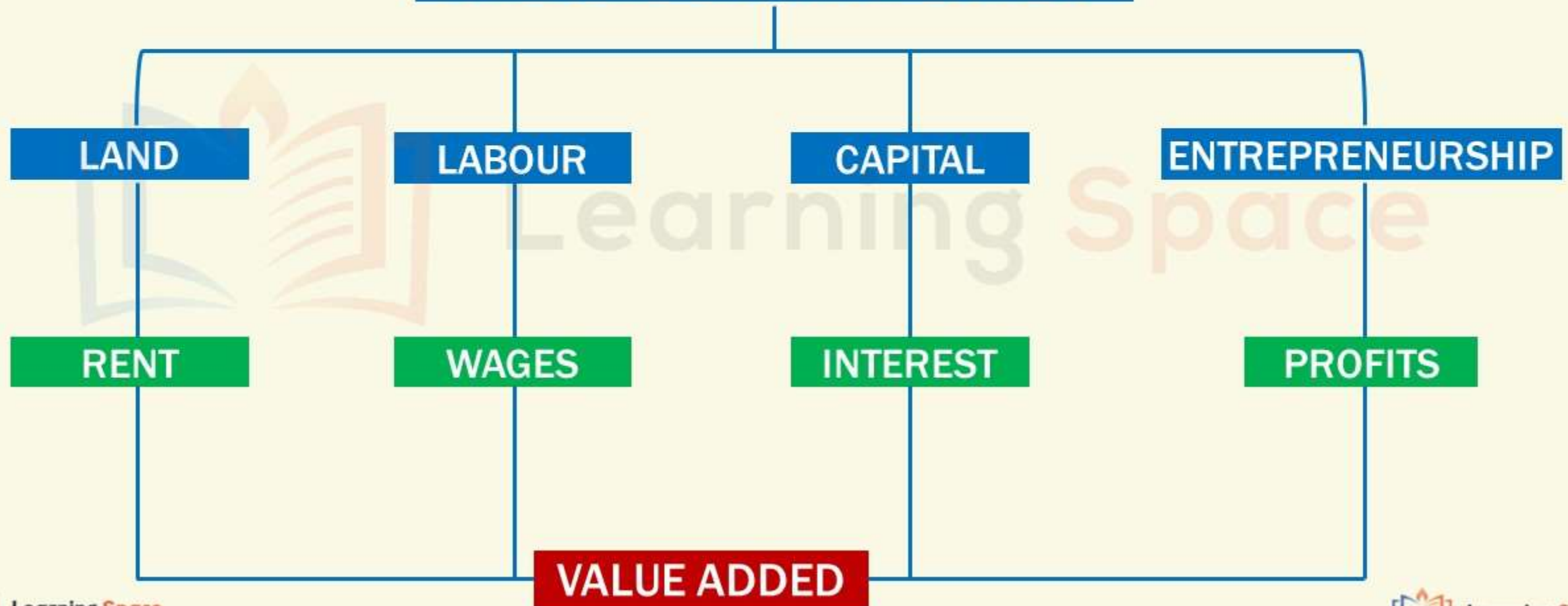
Chart 1

S. No.	Item	(` crore)			percentage change over previous year	
		2014-15	2015-16	2016-17 (PE)	2015-16	2016-17
	Domestic Product					
1	GVA at basic prices	9719023	10490514	11185440	7.9	6.6
2	Net Taxes on Products including import duties	817961	890488	1004414	8.9	12.8
3	GDP (1+2-3)	10536984	11381002	12189854	8.0	7.1
4	NDP	9356260	10116809	10841917	8.1	7.2

As per theoretical concepts ...

THE VALUE ADDED MUST BE EQUAL TO THE FACTORS OF PRODUCTION

FACTORS OF PRODUCTION



ECONOMY

AGGREGATE VALUE OF GOODS AND SERVICES

1



WAGES

2



RENT

3



PROFITS

4



INTEREST

ECONOMY

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MOSPI

AS PER THEORY

1 WAGES

2 PROFIT

3 INTEREST

4 RENT

CSO METHOD

1 Compensation, salary + others like
PF, insurance etc.

2 Mixed income, operating surplus

3 Consumption of fixed assets during
production



GVA AT
FACTOR COST

MSME
MICRO, SMALL & MEDIUM ENTERPRISES
सूक्ष्म, लघु एवं मध्यम उद्यम



GVA AT BASIC PRICES

GVA AT FACTOR COST

+

PRODUCTION TAXES

-

PRODUCTION SUBSIDIES



GVA AT BASIC PRICES

PRODUCTION TAXES



STAMP DUTY



PROPERTY TAX

PRODUCTION SUBSIDIES



SUBSIDIES GIVEN BY GOVT.
TO MSMES

PRODUCTION TAXES



1

PROPERTY TAX

2

STAMP DUTY

3

REGISTRATION TAXES

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PRODUCTION SUBSIDIES



Subsidies given by Govt. to MSMEs



Input subsidies in agriculture



ECONOMY

GDP CALCULATION

GVA AT FACTOR COST

+

PRODUCTION TAXES

-

PRODUCTION SUBSIDIES



GDP AT
MARKET
PRICES

=

GVA AT BASIC PRICES

+

PRODUCT
TAXES

-

PRODUCT
SUBSIDIES



PRODUCT TAXES



PRODUCT SUBSIDIES



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RELEASE OF GDP FIGURES BY ECONOMIC ACTIVITY METHODOLOGY

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RELEASE OF GDP FIGURES BY FINAL EXPENDITURE METHODOLOGY

Chart 2

	Final Expenditures					
5	PFCE	5902386	6262373	6806624	6.1	8.7
6	GFCE	1073894	1109725	1340086	3.3	20.8
7	GFCF	3302173	3518446	3602041	6.5	2.4
8	CIS	270613	274447	291179	1.4	6.1
9	VALUABLES	187957	180274	148700	-4.1	-17.5
10	Exports of goods and services	2512176	2378687	2486007	-5.3	4.5
11	Less Imports of goods and services	2667658	2510753	2568680	-5.9	2.3
12	Discrepancies	-44556	167803	83897		
13	GDP	10536984	11381002	12189854	8.0	7.1

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Chart 2

FINAL EXPENDITURE METHODOLOGY

- 1 CSO also releases estimates of final expenditures of the GDP at current and constant prices.
- 2 These are compiled using the data on indicators available from the same sources, those are used for compiling GDP estimates by economic activity.
- 3 Data available on merchandise trade in respect of imports and exports, balance of payments as well as monthly expenditure of Central Govt. are also taken.
- 4 Various components of expenditure on Gross Domestic Product, namely consumption expenditure and capital formation are normally measured at market prices.

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Release of GDP figures by CSO

Chart 3

	RATES TO GDP					
14	PFCE	56.0	55.0	55.8		
15	GFCE	10.2	9.8	11.0		
16	GFCF	31.3	30.9	29.5		
17	CIS	2.6	2.4	2.4		
18	VALUABLES	1.8	1.6	1.2		
19	Exports of goods and services	23.8	20.9	20.4		
20	Less Imports of goods and services	25.3	22.1	21.1		
21	Discrepancies	-0.4	1.5	0.7		
22	GDP	100.0	100.0	100.0		
23	GNI	10412280	11246305	12034713	8.0	7.0
24	NNI	9231556	9982112	10686776	8.1	7.1

GROSS CAPITAL FORMATION

GROSS FIXED CAPITAL FORMATION

- Value of new machinery and equipment
- Value of new construction activity

CHANGE IN STOCK

- Change in stocks or inventories.
- It also tracks changes in raw materials, semi-finished and finished goods.

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Release of GDP figures by CSO

Chart 4

Per Capita Income, Product and Final Consumption						
25	Population* (in million)	1267	1283	1299	1.3	1.2
26	Per Capita GDP	83165	88706	93840	6.7	5.8
27	Per Capita GNI	82181	87656	92646	6.7	5.7
28	Per Capita NNI	72862	77803	82269	6.8	5.7
29	Per Capita PFCE	46586	48810	52399	4.8	7.4

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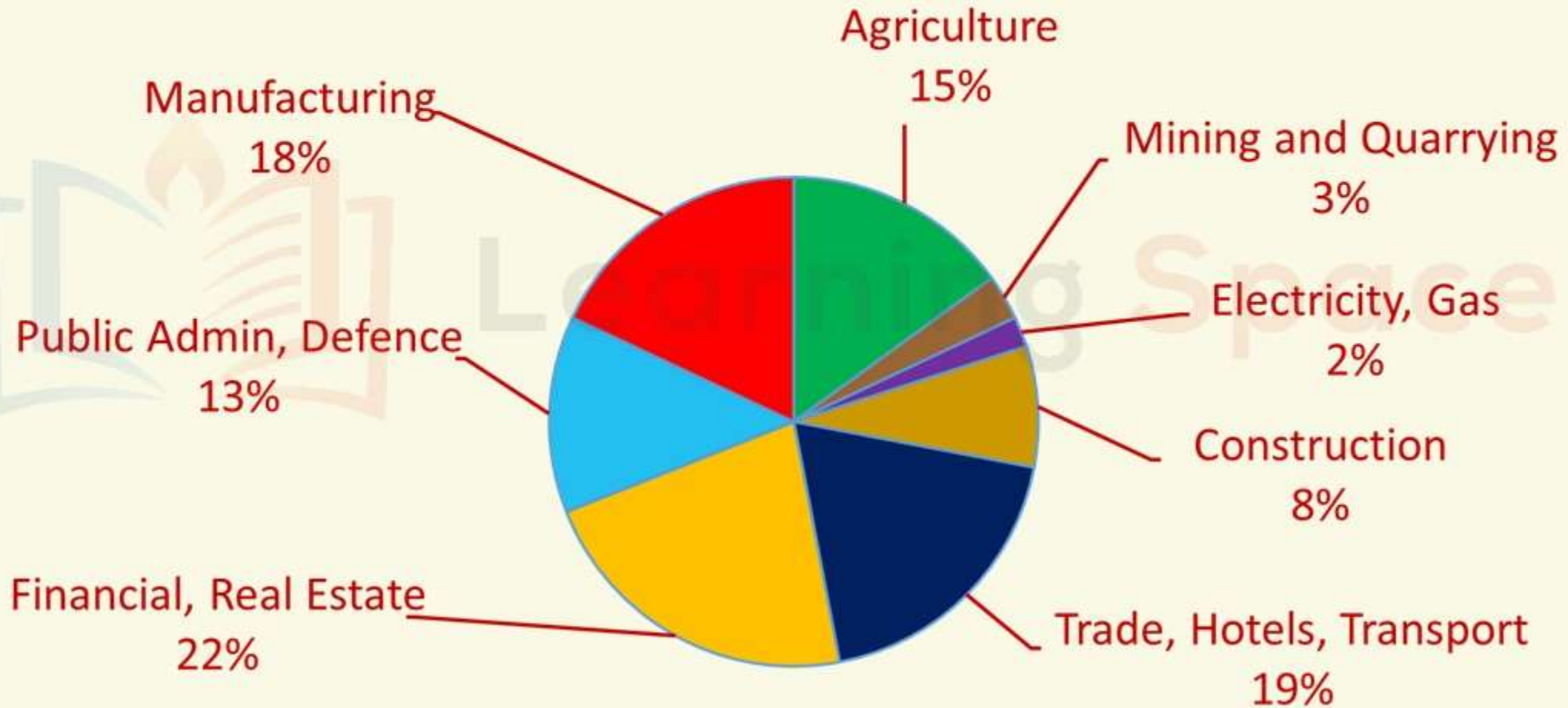
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GVA AT CONSTANT PRICES

2016-17



GDP

ISSUES TO PONDER !

ISSUE NO 1

- Rise in GDP may not correlate with the rise in welfare

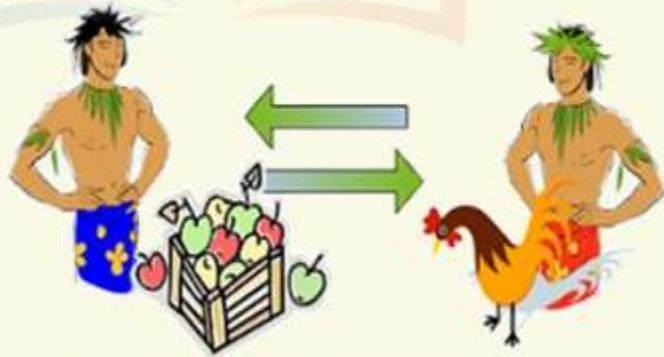


GDP

ISSUES TO PONDER !

ISSUE NO 2

- There are several non-monetary exchanges



GDP

ISSUES TO PONDER !

ISSUE NO 3

- Externalities such as pollution and environmental issues



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